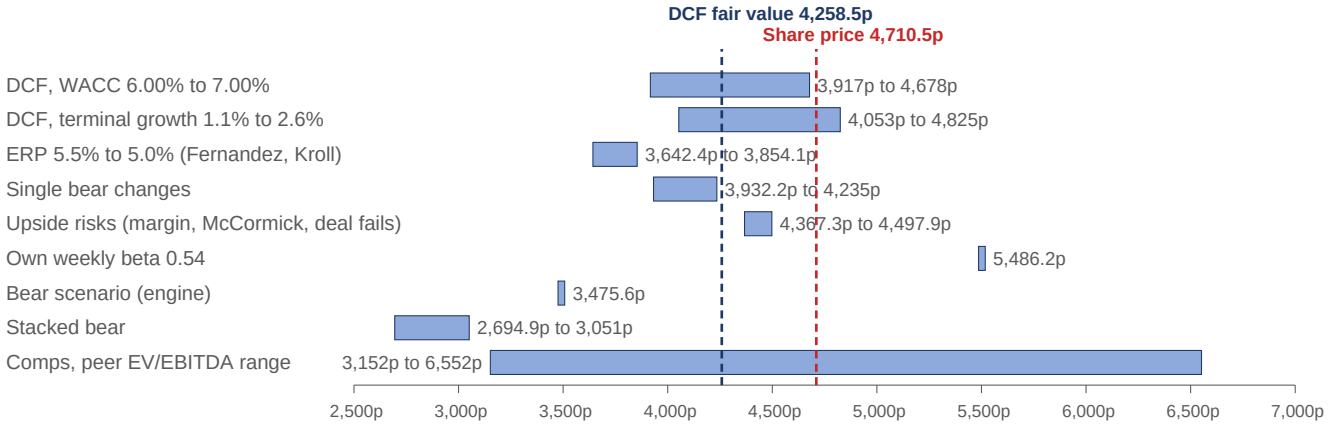
Unilever PLC (LSE: ULVR)

HOLD	Fair value 4,258.5p	Share price 4,710.5p (13 Oct 2026 close)	Upside -9.6%	Bear case 3,475.6p

Desk rating: HOLD, borderline (PM confirmed 15 Oct 2026 after evidence audit; was SELL). Memo of 15 October 2026. Rule: BUY at +15% or more, SELL at -10% or worse. **SELL starts below 4,239.45p, only 19.1p (0.4% of the price, about EUR 486m of value) under fair value; BUY starts at 5,417.1p.** The PM kept the desk rule rather than override to SELL, so all four companies are rated by the same rule. **The call leans SELL:** each of the five bear challenges alone, Kroll's 5.0% ERP (3,854.1p), the 9 Oct Bund of 3.50% (4,222.4p) and a 1.0% credit spread (4,231.8p) each make it SELL. Only Damodaran's January ERP of 4.23% keeps HOLD (4,241.6p). Per-share values in pence (GBp); totals in EUR m (Unilever reports in euros), at EUR 1.18190 per GBP; 2,154.3m shares.



Thesis

- **A HOLD by 19.1p that leans SELL.** The move from 3,855p (SELL) to 4,258.5p comes from five PM decisions of 15 Oct 2026; the ERP cut from 5.0% to 4.2% gives +379.1p of the +403.3p. The ERP, the Bund and the McCormick price each decide the rating within a few basis points or 2.4%.
- **The price already assumes a best case for the business that remains.** At 4,710.5p the market pays 14.7x EBITDA for Unilever without Foods, against a peer median of 11.9x and a DCF exit of 12.2x. The comps median (3,902p, -17.2%) says SELL; the DCF says HOLD.
- **About a third of the value is the McCormick deal at today's price, untaxed.** Foods consideration 1,308p (31%). McCormick is USD 44.64, 23% below the USD 57.84 deal reference; USD 43.55 makes it SELL. Upside risks: a failed deal (+115.0p to +150.5p), margin 18.8% (4,497.9p), own beta 0.54 (5,486.2p, BUY).

Valuation: a sum of the parts

As if Foods were already sold: a DCF of Home and Personal Care less outside shareholders, plus McCormick's payment for Foods at today's price, plus stakes and JVs, less net debt, pensions and other claims.

- **Growth (EUR, ex-Foods):** base sales EUR 39,803m; **+2.0% in FY26** (H1 2026 change of the three businesses valued), then 1.6% a year FY27-30.
- **Margin:** 17.7% flat (ex-Foods 18.8% less 1.1% recurring restructuring). Savings flow-through: none modelled. Tax 26.0%; capex 3.15%, D&A 2.6% of sales.
- **WACC 6.50%:** Bund 3.45%, beta 0.8844, **ERP 4.2%** (Damodaran implied, 1 Oct 2026), cost of equity 7.164%; cost of debt 4.15% (Bund + 0.70%), 3.071% after tax; debt weight 16.13%. Market-implied WACC 5.97%.
- **Terminal:** growth 1.6%, RONIC 17.8%. Terminal value 77.9% of EV (FLAG, limit 75%); exit 12.2x EBITDA.

Bridge (EUR m, 31 Dec 2025): EV 103,329 - minorities 11,040 (10.684% of EV) - net debt 23,076 - restructuring 500 - pension deficit after tax 698.6 + stakes and JVs 7,533.5 + Foods consideration 33,312.4 = 108,861; rolled to 108,431 at 14 Oct 2026 = **EUR 50.33 = 4,258.5p**. Parts (pence): DCF after minorities 3,827; Foods 1,308; other stakes 308; net debt, restructuring, pension, dividends and buyback -1,185.

Step (pence)	Change	Value	Upside	Rating
14 Oct run		3,855.3	-18.2%	SELL
1. ERP 5.0% to 4.2%	+379.1	4,234.4	-10.1%	SELL
2. Pension deficit	-29.0	4,205.4	-10.7%	SELL

Step (pence)	Change	Value	Upside	Rating
3. MKC dividends	-25.2	4,180.2	-11.3%	SELL
4. JV at new Ke	+19.6	4,199.7	-10.8%	SELL
5. FY26 growth 2.0%	+58.8	**4,258.5**	**-9.6%**	**HOLD**

HOLD turns SELL at	Used	Breakeven
ERP / Bund (risk-free)	4.20% / 3.45%	4.234% / 3.476%
FY26 growth / terminal growth	+2.0% / 1.6%	+1.51% / 1.560%
McCormick price / margin / beta	USD 44.64 / 17.7% / 0.8844	USD 43.55 / 17.61% / 0.892
Foods tax (39.3p per EUR 1bn)	not deducted	above about EUR 0.49bn

Pence	g 1.1%	g 1.6%	g 2.1%	g 2.6%
WACC 6.00%	4,410	4,678	5,012	5,443
WACC 6.50%	4,053	**4,258.5**	4,510	4,825
WACC 7.00%	3,755	3,917	4,111	4,348

Comps: peer median EV/EBITDA 11.9x (7 HPC peers; four on Yahoo data) gives 3,152p / 3,902p / 6,552p; without KMB 4,575p (HOLD).

Disclosures. (1) ERP 4.2% seen only in search summaries; PM to confirm on Damodaran's site. (2) Bund 3.45% from aggregators only. (3) The 0.70% spread is a US-dollar index added to a euro yield. (4) Terminal value 77.9% of EV. (5) Comps say SELL, the DCF says HOLD. (6) **MISSING:** Foods tax; Foods interim cash flows to closing (indicator about 113p, not used). (7) McCormick dividends for 3 quarters; 2 quarters gives 4,267.0p. (8) FY26 +2.0% is an H1 figure. Foods cash received mid-2027 costs 15.7p (HOLD by 3.5p); the whole consideration at WACC 57.2p (SELL); neither is in the base.

Fundamentals

- **Weak euro growth:** USG 4.5%, 9.0%, 7.0%, 4.2%, 3.5% (FY21-25), but turnover fell 3.8% in euros in FY25; 62% of the remaining company is in emerging markets.
- **Margins at a peak:** underlying 18.4%, 16.1%, 17.6%, 19.4%, 20.0% (FY21-22 include Ice Cream, FY23-25 do not); restructuring recurs at 0.8-1.4% of turnover.
- **Returns and mix:** ROIC 19.0% (FY25), 17.8% after restructuring (ex-Foods not disclosed). Margins: Personal Care 22.6%, Beauty & Wellbeing 19.2%, Home Care 14.9%; Foods perimeter 24.3%.

Risks

- **Beta:** 0.8844 bottom-up (Damodaran global Household Products 0.7741, relevered at D/E 0.1924). Own regressions vs the FTSE 100: 0.43, 0.54, 0.91 (R-squared 0.08-0.30). SELL at 0.892; 0.91 gives 4,191.0p; June 2026 net debt gives 0.8981.
- **Volatility and drawdown:** 22.4% (1 year) and 19.2% (5 years) vs 11.6% and 12.5% for the FTSE 100; McCormick 30.5%. Drawdown -25.5% over 5 years, 5,470.6p (24 Feb 2026) to 4,077.7p (4 Jun 2026).
- **Leverage:** net debt / underlying EBITDA 2.03x (Dec 2025) and 2.27x (Jun 2026) vs a c.2x target; rated A+/A1.

Bear case and our response

Pence per share; impact vs 4,258.5p. Each challenge alone turns HOLD into SELL. Stacked bear (engine bear + JV fix + 16.2% margin + 25% tax): 3,051.0p; with HUL at market 2,694.9p.

Challenge	Test: value (impact)	PM decision 15 Oct 2026
U1. Foods consideration worth less	Tax 25% of cash: 4,120.8 (-137.7); McCormick USD 33.15: 4,057.2 (-201.4); deal fails +115.0 to +150.5	Keep method (no tax until sourced); "stays SELL" withdrawn; tax above EUR 0.49bn or MKC -2.4% gives SELL
U2. 17.7% margin is a peak	16.2%: 3,932.2 (-326.3)	Keep 17.7%; "stays SELL" withdrawn
U3. HUL minorities at market	4,087.1 (-171.4) to 3,997.4 (-261.2)	Keep proportionate (Diageo rule); market value is a rating risk
U4. Growth and terminal value	g 1.1%: 4,037.5 (-221.1); RONIC 16.5%: 4,235.0 (-23.6); RONIC = WACC: 3,747.3	Keep 1.6%, partly accepted; "stays SELL" withdrawn
U5. Discount rate	Beta 0.9998: 3,971.9 (-286.7); ERP 5.0%: 3,854.1 (-404.4)	Keep beta 0.8844, ERP 4.2% (desk-wide); "SELL either way" withdrawn
U6. Overall view	Engine bear 3,475.6; JVs at Ke + 1 pt 3,449.2	Withdrawn: HOLD by 19.1p; each challenge alone gives SELL; upside: failed deal, higher margin, lower beta

Sources

- Unilever FY25 Form 20-F (SEC accession 0000217410-26-000007, filed 12 Mar 2026): balance sheet p.131 (pension plans in deficit), cash flow p.132, notes 2 (pp.137-138), 4B, 11 (p.158), 13-14 (pp.159-160), 15B-15C (pp.162-164), 17A (p.174), related undertakings p.194; XBRL.
- Unilever FY25 results 6-K (0001654954-26-001155, 12 Feb 2026); H1 2026 results 6-K (0000217410-26-000057, 28 Jul 2026; HPC business-group turnover); FY17-FY24 results 6-Ks (guidance record); Total Voting Rights 6-Ks (0001654954-26-008017, 0001654954-26-007194).
- Foods/McCormick Form 425 investor presentation (0000217410-26-000027, 31 Mar 2026) and call transcript (0000217410-26-000032); McCormick 10-Q to 31 Aug 2026 (0000063754-26-000329: note 2, quarterly dividend); TMICC Form 424(b)(4) (0001104659-26-042683, 13 Apr 2026).
- ERP: Damodaran implied ERP (pages.stern.nyu.edu/~adamodar), Kroll and Fernandez et al. 2025, all seen in search summaries only (docs/audit-2026-10-15/erp-evidence.md). Bund: Trading Economics and Bloomberg rates page (aggregators); 9 Oct cross-check thetrading.tools. FRED: BAMLC0A3CA, DEXUSEU, DEXUSUK, DEXINUS (9 Oct 2026). Damodaran betaGlobal.xls (5 Jan 2026, PM upload).
- Yahoo Finance (non-filing): ULVR.L, ^FTSE, MKC, MICC.AS, HINDUNILVR.NS and peer prices (13 Oct 2026). Peers: SEC EDGAR XBRL (PG, CL, KMB); Yahoo (Reckitt, Beiersdorf, L'Oreal, Henkel).
- PM decisions: briefs/ULVR.yaml; docs/phase5/brief-unilever.md; evidence audit docs/audit-2026-10-15/ULVR.md and summary.md; bear responses docs/audit-2026-10-15/bear-responses-2026-10-15.md (U1-U6). Agent outputs: runs/ULVR/2026-10-14/ (data, risk, fundamentals, valuation, bear).